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March 4, 2025

COMMITTEE SUBSTITUTE
FOR

SENATE BILL NO. 951

By: Murdock

An Act relating to the Commissioners of the Land Office; amending 64 O.S. 2021, Section 1023, which relates to the granting of commercial and agricultural leases; providing for appraisal of certain improvements; directing certain lease to require certain reimbursement; providing condition for lease default; providing for promulgation of rules; updating statutory reference; updating statutory language; and providing an effective date.

BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

SECTION 1. AMENDATORY 64 O.S. 2021, Section 1023, is amended to read as follows:

Section 1023. A. The Commissioners of the Land Office are authorized to grant commercial leases and agricultural leases in trust property.

Commercial leases shall not exceed fifty-five (55) years. The granting of any commercial lease in excess of three (3) years shall be by public bidding at not less than fair market value. All commercial leases shall provide for fair market value throughout the term of the lease.

1 Agricultural leases of trust property shall be limited to a
2 maximum of five (5) years and shall be by public bidding at not less
3 than fair market value.

4 The granting of any interest in trust property at less than fair
5 market value or not in compliance with this section is void.

6 Any permanent improvement made on commercial trust property from
7 and after ~~the passage of this act~~ July 1, 1989, shall revert to the
8 trust at the end of the lease.

9 B. In connection with any commercial and agricultural leases,
10 the Commissioners of the Land Office shall, unless otherwise
11 exempted by the Constitution or laws of ~~Oklahoma~~ this state:

12 1. Require payment of ad valorem property taxes on any
13 improvements and structures on state school land, which would
14 otherwise be subject to ad valorem property taxation if constructed
15 on privately owned land; and

16 2. Indemnify and hold harmless the Commissioners of the Land
17 Office from any financial obligation related to land, financing, or
18 operation.

19 C. An appraiser selected by the Commissioners of the Land
20 Office shall appraise any improvements approved by the Commissioners
21 of the Land Office made to the property leased as an agricultural
22 lease by the current lessee that cannot be removed without manifest
23 injury to the land. When the Commissioners enter into a new lease
24 for the property, the lease shall require the new lessee to

1 reimburse the previous lessee for the appraised value of any
2 improvements made by the previous lessee by the date the new lessee
3 is permitted to take occupancy of the property. It shall be
4 considered a default of the lease of the property to the new lessee
5 if such reimbursement is not made.

6 D. The Commissioners of the Land Office may refuse to accept
7 any bid or lease on a commercial, agricultural, or mineral lease
8 where the party is in default of any installment due or in violation
9 of any provisions contained in a prior or current lease contract.

10 ~~D.~~ E. The Commissioners of the Land Office may refuse to accept
11 any bid or lease contract where the interested party cannot show
12 adequate creditworthiness as determined by the Land Office.

13 F. The Commissioners of the Land Office shall promulgate rules
14 to implement the provisions of this section.

15 SECTION 2. This act shall become effective November 1, 2025.

16 COMMITTEE REPORT BY: COMMITTEE ON EDUCATION
17 March 4, 2025 - DO PASS AS AMENDED BY CS
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